

Nick Ferguson

Portfolio



China's bitcoin trade volume at record levels

NICK FERGUSON, *Contributing writer*

HONG KONG -- Bitcoin trading in the Chinese currency is at record levels. New financial products and services, which offer zero-commission trading, margin loans and highly leveraged futures contracts, have ignited interest in the cryptocurrency.

A year ago, the price per bitcoin was in free fall and the People's Bank of China warned financial institutions and payment companies against using the cryptocurrency. The future looked murky.

Traders in March, however, bought and sold roughly 700 million yuan (\$112 million) worth of bitcoin a day, according to website Bitcoinity. The record-level trading is more than double the volumes logged around a year ago.

China's central bank in late 2013 said financial and payment institutions were not allowed to conduct any sort of business using bitcoin. The bank's statement also said bitcoin did not have the same legal status as a currency. The central bank's moves essentially separated bitcoin from the mainstream financial industry. The PBOC, however, did not ban individuals from using and trading in bitcoin.

Getting creative

"Being creative Chinese entrepreneurs, we found workarounds," said Bobby Lee, CEO of Shanghai-based BTC China, now the world's biggest bitcoin exchange. BTC China and other exchanges now operate outside of mainstream finance. These dedicated bitcoin exchanges have seen trading bounce back.

Bitcoin is a cryptocurrency -- digital and decentralized, it relies on distributed computing power to clear and authenticate transactions. These transactions can be completed cheaply, immediately and without the need for escrow from a trusted third party such as a government, legal office or banking federation.

So far, however, payment transactions have represented a tiny part of bitcoin trading volumes. Activity is dominated by speculators. "We've had tractions and are getting more merchants to sign up, but even if payments grow 10,000% it will still be a drop in the bucket compared to exchange-traded products," said Lee.

Since 2014, local and international bitcoin exchanges have been luring Chinese investors with new ways for trading the cryptocurrency.

"Bitcoin came along and it just seemed like something completely new and fresh," said Matthew Ventura, a bitcoin speculator who operates five bitcoin ATMs in Macau. "I decided to give it a try and it's been very fun. It's exciting."

A gradual erosion of trading fees started in 2013 when BTC China scrapped its 0.3% commission. At the time, most exchanges were charging anywhere from 0.6% to 0.2% to swap bitcoin and yuan. Other exchanges followed BTC China's lead.

OKCoin, one of the most popular futures platforms, offers margin loans of up to twice a trader's account size and futures contracts with leverage of 10 or 20 times for a

fee of 0.03%. Others offer near-identical terms.

All this has worked. China's interest in bitcoin has surged. That is despite the digital currency sinking from a peak of more than \$1,100 in November 2013 to \$230 today. Yuan values for bitcoin roughly correspond to those for dollars.

Good times

Worries about the future of bitcoin have subsided. "Trading volumes have risen over the past year, mostly due to the confidence that bitcoin is here to stay," said Lee.

Bitcoin price on BTC China; in yuan



"Bitcoin is not a hot topic within the Chinese government right now," said Roland Sun, a partner at Shanghai law firm Broad & Bright who specializes in cryptocurrencies. "They acted in 2013 because there was a Bitcoin's tiny market appears safe from Chinese regulators for now."

China's bitcoin trade volume at record levels - Nikkei Asia lot of volatility and it was high profile, but there are no indications that the government is going to take any further action on bitcoin. Government officials aren't very

familiar with cryptocurrencies and would rather wait to see what the U.S. does.”

The New York Department of Financial Services last July proposed a framework known as BitLicense that focuses on consumer protection, money laundering and cybersecurity rules for cryptocurrency businesses. It could form the basis of a bitcoin regulatory framework in the future.

Wall Street appears to think so. Goldman Sachs has published two lengthy reports on bitcoin, focusing on its usefulness as a payment protocol. The investment bank and IDG Capital Partners also in April led a \$50 million investment in a U.S. bitcoin startup, Circle Internet Financial.

That, however, does not mean cryptocurrencies are about to go mainstream. The bitcoin market is

tiny in comparison to conventional asset classes. The net buying quota available through Stock Connect, a trading link between the Shanghai and Hong Kong stock exchanges, is 10.5 billion yuan a day, much higher than the amount traded in bitcoin.

The small size of the bitcoin market and the potential of cryptocurrencies as legitimate financial tools appear to have pacified Chinese regulators for now.

Ready money

The internet has been crying out for its own currency since the 1990s and Bitcoin offers a solution that could be quick, cheap and verifiable.

China's announcement in December that it was banning local financial institutions from using bitcoins caused a collapse in the price of the digital currency and led a chorus of talking heads to predict its demise.

Things don't seem to have improved much since then. Japan's Mt Gox, the biggest bitcoin exchange, went bust in February after the unexplained loss of 850,000 bitcoins (valued at the time at more than \$450 million) to hackers. Then in late March the US said that it would tax Bitcoins as property.

But these pale compared to the China ban. After Beijing's statement, speculators watched the value of their digital portfolios fall in half during the last few weeks of 2013 and, despite a brief rally in January, the bitcoin slump has continued (prices diverge across multiple different exchanges, but the peak value was roughly \$1,100 compared to less than \$500 today).

The joint statement from China's banking, securities and insurance regulators was unequivocal: "Although [bitcoin] is called currency, it is not issued by a monetary authority, it does not have the status of legal tender and obliged payment status of currency, it is not currency in the true sense. Bitcoin is a specified virtual commodity, it does not have equal legal status with currency, and it cannot and should not be circulated as currency on the market."

It went on to say, in effect, that financial institutions must not offer any products or services related to bitcoin, casting doubt on the future of virtual currencies in its biggest market.

So did China kill bitcoin? Not according to Dave Chapman, co-founder and chief operating officer of ANX, a Hong Kong-based exchange that offers trading in bitcoin and other digital currencies — and which unveiled the city's first bitcoin ATM in February.

"Whilst the media adequately relayed this message [that PBoC had barred financial institutions from transacting in bitcoins], the majority of the articles published failed to mention that in the same ruling it was confirmed that private individuals are allowed to trade bitcoin at their own risk," he said during an interview at the exchange. "That's a win for us."

Indeed, the statement was like a warm embrace to bitcoin professionals in Asia. Far from "banning" bitcoin, the regulators acknowledged it for the first time and started to lay the foundations for better regulation. They even said that financial and payment organisations should inform the public about virtual goods and currencies. This is by no means a ban.

Other stories about countries banning bitcoin betray a similar reality: regulators across the region are accepting that bitcoin is significant enough to warrant their attention — even if they do not always seem to have much to say.

End of the beginning

This regulatory acknowledgement could be the first of many big steps that bitcoin takes in 2014. As the product matures, a new breed of more professional operations is slowly edging out cowboy operators.

In response to Mt Gox's "tragic violation of trust", for example, a group of top bitcoin professionals put out a joint statement condemning its shoddy approach and providing a united and credible voice for the industry.

"Strong bitcoin companies, led by highly competent teams and backed by credible investors, will continue to thrive and to fulfil the promise that bitcoin offers as the future of payment in the internet age," said the statement, signed by the co-founder of Coinbase and the chief executives of Kraken, Bitstamp.net, BTC China, Blockchain.info and Circle.

If anything, players such as Mt Gox were becoming a pain for those who wanted bitcoin to break through to mainstream acceptance. Although it grew to become the world's most popular bitcoin exchange, the code behind Mt Gox had been written in just a few days and the exchange operated without any of the typical checks involved in the regulated financial industry.

"Mt Gox was one of the reasons we started," said Chapman. "We thought we could do a better job."

Firms like ANX are now leading the new generation of bitcoin exchanges — its three founders are all serious professionals. Chapman joined in November from HSBC, where he had been responsible for the derivatives development team in Hong Kong after a career that included stints at Bear Stearns, Credit Suisse, Barclays and ABN Amro.

Hugh Madden was a fellow HSBC banker, while the chief executive

Ken Lo worked in the telecoms industry.

Registered members must go through proper identity checks and the exchange takes anti-money laundering and know-your-customer provisions seriously. Joining the exchange is still an entirely online process, though customers have been known to show up at the Wan Chai office with wads of cash.

ANX's customer funds are all held in "cold storage", which means they are offline and secure from hackers.

This process of weeding out the weak links is an important one, according to Dmitry Dain, chief technology officer and founder at Betalabs, who was interviewed as part of a Goldman Sachs research report.

"As legitimacy of bitcoin grows, the assumption is that more investment will flow into the operation of the exchanges and that they will become more stable," he said. "But it is still a Wild West out there for the exchanges."

Attitudes can change quickly. Just six months ago most people reckoned that the closure of Silk Road, an online black market, would lead to a dramatic drop in bitcoin usage as criminals reverted to dark alleys and bank-issued currency. The opposite was true: bitcoin VALUES IN DOLLAR TERMS shot up by more than 400% immediately after the FBI closed the website in October.

The more professional exchanges also noticed a flight to quality after Mt Gox went down. "We had our busiest week ever," said Chapman.

US retailers such as Zynga, Overstock and TigerDirect have all recently started to accept bitcoins and more are joining them.

CoinMap, a website that claims to map retail outlets around the world that accept bitcoin and litecoin payments, lists more than 150 stores in Asia — and close to 4,000 worldwide. "That would mean

bitcoin prices going through the roof," he predicted.

The next step, which Chapman is confident will happen this year, is for a major online player such as Amazon or Google to start accepting them.

"This would naturally result in much wider appreciation of bitcoin as a payment technology — and it would most certainly increase the demand for bitcoin," he predicted.

Early adopters can already use bitcoin to pay for things on Amazon (as well as Walmart, Macy's and Target) by installing a simple Google Chrome web plugin that uses the retailer's API, an interface that allows app developers to offer third-party services. It also searches the internet for cheaper deals and seamlessly finds discounts. Such tools come with a cost because they involve buying through a third-party reseller, which can void warranties on some products. Going direct through Amazon, rather than a less trusted app developer, would still offer a better experience for most customers.

Whether that will ever happen is the big question. Google appeared to say in February that it was exploring options to integrate Bitcoin after an email from the commerce team was circulated in public. The company later dialled back the statement, but netizens are now convinced that Google is working on it. That seems a reasonable assumption.

Google's biggest revenue source is from online advertising. Using Bitcoin in this environment would mean AdSense payments could go through instantly instead of being sent by secure cheque (often internationally). A Gmail integration could allow anyone to send money securely by email, while a Bitcoin-enabled Google Wallet could revolutionise mobile payments.

No other large internet company has made a definitive statement about Bitcoin, but it is safe to

assume that such innovative businesses are seriously considering the benefits of being a first-mover in this market.

There are challenges, of course. Google already spends a huge amount of time and effort keeping spammers and scammers out of its advertising business, but an anonymous payment system would hardly make that any easier. It would also presumably need to buy an exchange to be able to offer such a service.

Payday

None of the above helps to answer a simple bitcoin question that many people have: What's the point?

You can't pay your taxes with bitcoin, but its real selling point is not as a currency. In essence, it is a payment technology that allows for the cost-free exchange of assets between two anonymous parties without reliance on any central organisation, and which can be verified by anyone and cannot be reversed.

That probably doesn't sound very impressive to millennials out to change the world, but the truth is that existing payment technologies are much more expensive, much slower and much less secure. And bitcoin could be used to transfer any documents or assets, from securities to letters of credit.

Such a system would have broad applicability. It would offer small retailers huge advantages over credit cards, which cost them 2% to 4% of the sale and are commonly used fraudulently, resulting in chargebacks that leave the retailer out of pocket.

Overseas workers from the Philippines and other Asian countries who rely on money services such as Western Union would also benefit from cheaper fees. And their unbanked friends and relatives at home would only need a smartphone to create a mobile bank account.

For now, the conventional banking industry is sceptical. "If somebody can do all this risk-free, that would obviously be a positive for customers," said Sridhar Kanthadai, head of transaction banking for North Asia at Standard Chartered. "The banking environment has regulatory challenges that are growing really fast, so it's not easy to do at zero cost. Many of these ideas are very interesting, but regulators are getting nervous about it."

But most of the banks that FinanceAsia contacted for this story, including several of the world's top commercial banks, claimed not to be in a position to

comment. Indeed, one of the world's biggest and most sophisticated foreign exchange brokers told us: "It's not a topic for us to discuss. I have double-checked our research database to see if there might be something helpful there to share with you but I'm afraid not at this stage."

Even Goldman, which is the only bank we know to have published research on the subject, had to rely on external specialists for much of the content in its report.

That is not to say the banks have a duty to take virtual currencies seriously. It may of course turn out that Bitcoin is not a workable payments solution for wholesale

banking clients. Doubtless the banks would prefer to "innovate" their own solutions that leverage the advantages of Bitcoin — transfers that are quick, cheap, verifiable and irreversible — at the same time as allowing some kind of fee structure.

Having said that, the zero-cost structure offers an important advantage that could be used for a variety of purposes. Charging a millionth of a bitcoin to receive emails, for example, could force spammers out of business. Such micropayments could also change the way that businesses monetise web traffic.

Insurers wary as Singapore targets digital assets

Singapore is making a bid to become a regional hub for digital assets as China and India crack down on cryptocurrencies, but insurers remain wary of this new and volatile class of risks.

Earlier this week, the Monetary of Singapore licensed the city-state's first cryptocurrency exchange, which is operated by Australia's Independent Reserve. Dozens of others are reportedly waiting for approvals as interest in digital assets has increased this year amid soaring prices for cryptocurrencies and non-fungible tokens (NFTs).

The city was also at the centre of the biggest digital asset story of the year, when local entrepreneur Vignesh Sundaresan paid a record US\$69 million (actually 42,329 in cryptocurrency ether) for an NFT by digital artist Beeple at a landmark Christie's auction.

Collectors who spend that kind of money on art would normally want to insure it (as we wrote about recently), but established insurance solutions for NFTs are not widely available.

"We have seen a few exploratory enquiries for NFTs in the past few months but appetite amongst specie underwriters is limited with only a handful in Lloyd's of London being able to offer some cover," Rhianon Alban-Davies, Asia regional head of fine art and specie at Willis Tower Watson told InsuranceAsia News (IAN).

"We know that a few underwriters in Asia are exploring this and expect to see more solutions being offered albeit at low limits," she added. "Understanding the risk exposure and the basis of valuation, considering there have been few

NFT sales on the secondary market, has been a challenge."

There is a market for digital artworks that are not on a blockchain platform and NFTs could ultimately end up being relatively easy to insure as they are extremely secure. Establishing valuations is the bigger challenge.

Cryptocurrencies

Valuations are also a challenge in the crypto sector. Prices of bitcoin and ether rose by hundreds of percent at the start of the year, only to collapse again after China cracked down on the crypto sector and indicated that it may be headed to a total ban, despite the country's prolific role in bitcoin mining. India is also considering legislation that will make it illegal to own private cryptocurrencies.

Such wild volatility makes this a difficult class of business to insure, but there is some capacity available for well-regulated crypto exchanges in the region — at a price.

In Australia, Independent Reserve charges A\$35,000 (US\$26,000) a year for accounts that offer insurance protection up to A\$5 million. Now that it is licensed, it may start offering insurance in Singapore.

Munich Re is one (re)insurer that has been willing to underwrite such risks. Curv, a digital asset security platform bought by PayPal in May, announced a deal with the German company in 2019 to insure up to

US\$50 million in crypto assets stored in the cloud.

However, a spokesperson for Munich Re told IAN that its appetite for this kind of risk is very limited and that it offers small coverage elements only. "In terms of underwriting this risk, we take care to understand the business model behind the technical solution and exclude certain covers (eg, fraud, loss of digital assets)."

To highlight the challenge that volatility poses, a US\$50 million portfolio of ether would have increased in value to around US\$170 million today (or more than US\$260 million in April).

Digital assets may eventually emerge as a significant class of business for insurers, but the underlying technology is already helping to modernise the industry.

Distributed ledger and blockchain technology can eliminate many of the legacy manual processes that make insurance slow, complicated and expensive.

Bharti AXA in India says that a motor insurance solution from Ledgertech, which is built on the Corda blockchain, has cut its costs per claim by 20%.

As the industry becomes more familiar with such solutions it may also become more comfortable with digital assets that leverage the same technology — assuming that valuations stabilise.

Hyperconnecting reinsurance

Supercede co-founders Ben Rose and Jerad Leigh talk about giving the industry superpowers.

With a second lockdown renewal successfully completed in Japan on April 1, reinsurers and brokers have been patting themselves on the back for a job well done. And deservedly so.

But the industry is still a long way from being truly digital. Preparing, validating and compiling all the data to complete a reinsurance deal remains a time-consuming and tedious process, while sourcing risk or capacity is more challenging than ever.

"The way that deals are done hasn't fundamentally changed," says Ben Rose, co-founder and president of Supercede, a dedicated reinsurance technology company. "Everyone is very pleased with themselves because trading is happening, but it's still basically all being done through emails, zip files and spreadsheets. Replacing meetings with video calls does not make it much more efficient."

Rose and his co-founder Jerad Leigh spoke to InsuranceAsia News about their mission to modernise trading in the reinsurance industry through the creation of a "hyperconnected" reinsurance trading platform that truly harnesses technology to match risk with capital.

Supercede combines an established e-placement platform and reinsurance network with tools for data preparation. The goal is to make life easier for all existing market participants — cedants, brokers and reinsurers — rather

than to disintermediate the broking function.

"We're broker-centric," says Leigh. "We've spent a lot of time talking to cedants and they actually value their brokers and the role that they play."

However, nobody values digging through vast spreadsheets in search of data for rekeying elsewhere. Streamlining these kinds of chores can dramatically reduce the amount of time it takes to close deals and empowers everyone involved to have much more productive interactions.

"Too often, brokers spend more time compiling data instead of doing deals," says Leigh, who is also the company's chief executive and was previously part of Aon Benfield's Japan team. "For example, the lead time for the April 1 renewal in Japan can start in September."

Leveraging technology to help cedants and brokers prepare submission packs and ensure that data flows smoothly is an obvious opportunity for efficiency gains.

Post-pandemic

An online network that brings together reinsurers, brokers and cedants is another important part of Supercede's platform that has only grown in importance during the pandemic.

While many in the London market continue to emphasise the importance of face-to-face relationships, even after Covid-19, the Supercede duo argue that there

is too much serendipity involved in the status quo.

Any client won through a chance encounter at a conference is also a deal that may just as easily never have happened. This is particularly true in Asia, where drumming up business in person is an obvious impediment to connecting risk with capacity that may be available in other regions.

Unlike other placement networks, Supercede is independent from existing industry incumbents and adopts a traditional approach to quoting, authorising and signing, which means that it can handle complex, bespoke deals.

Formerly known as Riskbook, Supercede rebranded after taking on £2 million of funding in 2020 and building out its offering to include the new analytics solution.

Last week it joined Lloyd's Lab, the market's insurtech programme, which will provide a forum for feedback across all the syndicates and help to develop the platform for even the most niche lines of business.

"In the long term, I hope that if we lay the groundwork well enough we will actually see reinsurance made easier to buy — and therefore we'll see more reinsurance bought," says Rose. "So who knows, we might even be able to help grow the industry."

That is a goal everyone can get behind.

Ensuring your wealth-being

Long-term, strategic wealth management can help to build a better, more sustainable future.

As we consider the 'new normal' and begin to adapt to life in a post-pandemic world, people and businesses have started to recalibrate their priorities.

Many investors are looking more closely at where their wealth is being deployed and are looking at ways to adjust their portfolio in favour of investments that reflect a more sustainable approach to society and the environment.

Issues around the environment, society and governance (ESG) had been growing in importance for high-net-worth individuals before Covid-19, but HSBC Private Bank has seen even stronger inflows into such solutions during the pandemic.

"This partly reflects the rising investor demand for more sustainable investment solutions that can help them to manage risk more effectively," says Fan Cheuk-wan, chief investment officer Asia for HSBC Private Bank. "But the pandemic has also prompted many investors to consider investment opportunities that can help the world move towards a rebuilding process that focuses on creating a better future."

Sustainable investment has commonly been identified as a long-term investment megatrend, but the massive global response to the pandemic has helped to change perceptions about how quickly governments and businesses can respond. As a result, portfolios and attitudes are changing to reflect expectations of a much more rapid shift.

In 2020, several major economies made explicit commitments to a

net zero future and Fan predicts that 2021 will be a pivotal year for sustainable investment as the US rejoins the Paris climate change agreement and, China, the world's largest carbon-emitting country, highlights carbon neutrality and green initiatives as key elements of its recently announced 14th Five-Year Plan.

"A sustainable future is more attainable now that the world's two largest carbon-emitting countries are making solid commitments to fighting climate change alongside global partners," says Fan.

SOCIAL EQUITY

Sustainability is not just about the environment, and Fan notes that investors are increasingly interested in solutions that are also aligned with the UN's Sustainable Development Goals (SDG) and other social-oriented factors.

Besides doing good, SDG-aligned investments can generate stable, long-term returns across fixed income and credit asset classes as companies that are engaged in sustainable development projects also generate relatively resilient income and cash flow.

Fixed-income opportunities that meet sustainability criteria can be more challenging to source than for public equity, which means that credit issued to finance SDG objectives can be extremely attractive to investors, both to meet their ESG goals and to help build more balanced portfolios.

Companies that embrace and advocate issues around social equity are also increasingly valued by sustainability-focused investors after the events of 2020, when the

pandemic focused attention on healthcare equality and, more recently, the uneven distribution of Covid-19 vaccines, while the Black Lives Matter movement brought worldwide attention to racial inequality.

"At HSBC, we truly believe that companies that adopt principles of diversity and inclusion, including within the management and leadership teams, also help to bring a more sustainable corporate strategy and business model," says Fan.

INVESTMENT SOLUTIONS

Family offices or high-net-worth individuals that adopt the proposition of sustainable investing follow a variety of approaches to embedding ESG into their portfolios.

Integration

One of the most common approaches is ESG integration, sometimes known as ESG-enhanced investment or ESG factors, which employs positive and negative screening to identify companies that do well in managing ESG risk and are positioned to perform well in the low-carbon transition.

One of the benefits of this approach is that it can be reflected in actively managed or discretionary solutions, long-only funds or even ETFs, across a multi-asset portfolio.

"Instead of going after individual, single securities, investors can position in a better-diversified investment vehicle to achieve their sustainable investment objectives," says Fan. "We have a very

stringent product due diligence process to assess the ESG credentials of the underlying investment vehicles to help our clients mitigate greenwashing risk.”

While some solutions may brand themselves as green, HSBC’s due diligence process looks into the underlying strategies and the investment approach to determine whether such solutions truly ally with clients’ investment objectives as stated in their investment proposition.

Thematic

Thematic ETFs provide dedicated exposure to the structural growth factors exposed to green technologies and the disruptive trends that will drive the global low-carbon transition.

Fan says that ESG thematic fund solutions have seen strong inflows during the past six months, partly in response to positive announcements from China and the US. The Biden administration has already indicated plans to roll out massive investments in green infrastructure, focused on green technology, renewable energy and grid infrastructure.

Meanwhile in China, the commitment to carbon neutrality will require massive investment in clean energy, electric vehicles and the whole supply chain to deliver on these promises.

“Thematic investment funds are uniquely exposed to the growth and opportunities brought by the global fight against climate change, so a lot of new investment vehicles have been rolled out with a focus on renewable energy, electric vehicles, climate change solutions and sustainable consumption,” says Fan.

Impact investing

With a longer investment horizon, many impact investment

opportunities tend to occur in the private equity space and attract a lot of interest among ultra-high-net-worth investment clients, who tend to have a stronger focus on long-term investments, family legacy and wealth transfer.

“While some aspects of the climate crisis represent an imminent threat, the low-carbon transition is really a multi-decade project and requires a longer investment horizon,” says Fan. “This is going to become a prominent investment trend.”

Many of these opportunities are directing capital towards transformation projects and technological innovations that will positively impact the environment and also contribute to innovative solutions. At the same time as engineering positive impact, these investments are also designed to generate sustainable financial returns.

QUALITY CONTROL

Some of the biggest concerns for investors in the ESG sector surround data quality and disclosure, particularly in Asia, but Fan says the region is rapidly making strides to catch up.

“Regulators in Asia are now setting up policy reviews and enhancing their ESG regulatory frameworks,” she says. “We continue to see that the gap in terms of the regulatory requirements between Asian markets and the West are now starting to narrow.”

This is important, as more stringent ESG information disclosure requirements will help long-term investors to apply ESG factors in portfolio construction. Without better disclosure, there is a risk that ESG investments can exclude markets and opportunities where capital is most needed, which is why it is encouraging that regulators in emerging markets are

embracing the value of much better quality ESG disclosure.

Similarly, there has been some criticism that ESG portfolios tend to favour large companies that can afford to make the costly disclosures, but Fan says that many small cap companies are actually among the most likely to embrace ESG principles, especially in tech and other innovative sectors. As with so many aspects of ESG, the divide is largely generational.

PERFORMANCE

This bias towards health and tech sectors has helped to drive significant returns for sustainable investment solutions during the past year, as these are the principal sectors that have benefited from significant outperformance over the course of the pandemic, especially compared to polluting sectors such as mining, oil and gas, and heavy industries.

While this performance is welcome and has helped to drive further interest in the sector, ESG investing is not a short-term strategy.

“Looking at the medium-term return outlook of sustainable investments we believe that ESG investing will deliver a stronger long-term financial return mainly because of the investment process,” says Fan. “ESG factors themselves are actually risk mitigating because you are screening out those companies that are most vulnerable to ESG risks, limiting your portfolio exposure.”

However, as governments and businesses increasingly direct investment towards sustainability, it is clear that ESG investing is now a portfolio approach that is capable of delivering returns across the investment horizon.

Optimising family wealth

As it reconnects with the world and introduces tax concessions, Hong Kong is emerging as a leading international centre for family offices.

Hong Kong is set to become the perfect destination for family offices. As the city re-connects with the world after the pandemic, it has proposed a variety of incentives that will create an ideal opportunity for wealthy families to optimise their investment operations.

With an established community of financial services professionals, world-class regulation, liquid markets and preferential access to mainland China, Hong Kong is the premier financial centre in Asia. From equities to fine art and philanthropy, it offers the most complete range of wealth and asset management opportunities.

Proposed changes to its tax regime and a raft of other measures mean there has never been a better time for family offices to establish a presence in this dynamic city.

Proposed tax concession

Hong Kong's government has long recognised the growing importance of family offices within the wealth and asset management industry and is keen to attract more wealthy families to set up and operate investment vehicles in the city.

It aims to attract at least 200 family offices to the city by the end of 2025 through a package of measures, including a proposed tax concession that aims to create tax certainty for family-owned investment holding vehicles managed by single family offices in Hong Kong.

Under the proposal, family offices will be exempt from Hong Kong profits tax on their investment returns.

Requirements to take advantage of the exemption include:

- central management and control of the investment vehicle in Hong Kong;
- at least two employees in Hong Kong;
- at least HK\$240 million in assets under management; and
- beneficiaries must belong to the same family.

In addition to the tax exemption, the government is committed to boosting Hong Kong's role as an international asset and wealth management centre through a host of measures aimed at promoting the sector's development.

Global connectivity

Hong Kong has long been a global city. As Covid-related quarantine arrangements and travel restrictions are relaxed, the city is reconnecting with the world and preparing for a strong rebound in growth.

Strategically located at the heart of Asia, it is one of the most convenient destinations for wealthy families with global interests. All the region's major markets are within a four-hour flight and half the world's population can be reached within five hours.

Perched on the Pearl River delta, it is also the gateway to southern

China and a bridge between the mainland and international markets. Family offices based in Hong Kong can take advantage of these close ties to access cross-border investment opportunities that are unmatched elsewhere in the region or even the world.

Philanthropy

Hong Kong's wealthy families have a proud history of supporting charitable causes, which has led to the development of a comprehensive infrastructure to support philanthropy and impact investing.

As family offices increasingly embrace philanthropic goals and sustainable investing, Hong Kong is ideally placed to offer the full range of services to support such ambitions. It also has one of the biggest green bond markets in the world.

Support

FamilyOfficeHongKong (FOHK) is a government agency dedicated to helping family offices better understand Hong Kong's landscape and related regulations and initiatives. It also provides professional advice to family office managers or ultra-high-net-worth individuals who are interested in establishing in Asia.

Hong Kong is the ideal destination for family offices and FOHK is here to help.

Investing in science

Biotech companies are at the cutting edge of medical research and offer big rewards for brave investors.

Whether it's searching for a cure for cancer or a way to end the opium epidemic in the US, investing in biotech companies can be exciting and hugely rewarding — both financially and in terms of funding scientific advances that may ultimately help humanity.

But it is not for the faint-hearted. Investing in the biotech sector is a highly specialised endeavour, as it can take a long time and a lot of money to develop a promising research idea into a treatment that can actually be used on humans, with many hurdles to jump through along the way and no guarantee that the research will lead to a viable treatment.

This can be daunting, but it is a world that Johnny Hon understands well. The chairman and founder of Global Group has a doctorate in psychiatry from Cambridge University, where he specialised in dementia treatments, and has spent most of his career as a venture capitalist.

This combination of science and finance is key to helping him understand the value of the research and advancing it to the point where there is a breakthrough and buyers come knocking at the door.

"If you have a good product that's looking for money, you often have to act very quickly in this market," he says. "That can be difficult for investors who don't have a good understanding of the science. But for us, one of the advantages is that if we like what we see, we can complete a deal within two weeks."

Hon's biotech investments are mostly conducted through a company in the UK, Mann Bioinvest, that he is co-chairman of with Jim Mellon. The pair source research opportunities from their impressive roster of contacts and use the British capital markets to provide funding.

"We have the capital, we are FCA [Financial Conduct Authority]

regulated in the UK, we can advise on the listing of the company and we can put the whole structure together," says Hon.

Hon's investments in the UK are focused on cancer treatments, but he is also exploring new areas such as the potential to replace opioids with painkillers based on medical cannabis. With the drug now approved for medical uses in much of the developed world, Hon sees a big opportunity.

There is also cross-over with some of his other investment activities. Blockchain technologies are already gaining traction in the financial sector, but they have the potential to securely store medical records and data as well, so there is an opportunity to act as a bridge between the worlds of biotech and fintech.

"What's exciting about biotech, and what makes it different, is that you're investing in the progress of science," says Hon.

Financial health

*The next generation of wealth in Asia wants holistic advice rather than transactional product pushers. Alex Fung of **Vontobel** says the Swiss firm is benefiting from the new way of doing things.*

Clients no longer want a transactional relationship with a wealth manager who only calls them when a new product comes on to the market and presses them for a decision. Instead, they want a relationship based on delegation, where the adviser will take the time to understand their requirements and risk appetite, and will work with them on a plan for preserving and growing their wealth. That's exactly what Vontobel, a Swiss investment firm, does.

Alex Fung, Vontobel's chief executive and head of wealth management for Asia Pacific, says his firm is taking advantage of these changes in the market in a number of ways, including diversification, lower costs compared to other wealth managers and private banks in Asia, and its unique three-alpha model, which is based on asset allocation, conviction and thematic investments, and opportunities to take advantage of short-term disturbances in financial markets.

Reluctance to diversify

Traditionally, Asia's original, or first-generation, wealth creators have been happy to invest locally in things they were familiar with. They didn't need external advisers

to tell them about deals they could do in the property market, for example. They were confident they knew all about them already.

The transfer of wealth to the next generation, which is well under way, is to people that are much more internationally minded. They travel widely and many were educated overseas in Europe, the US or Australia, and are therefore happy to diversify their portfolio by investing outside their home countries. However, while they may be much more open to investment opportunities abroad, they can't know about each and every one, which is where wealth managers such as Vontobel come in.

"This is also where a major trend has evolved, where clients are much more willing to delegate and to discuss portfolio management and much more willing to pay a fee for it," says Fung.

Platform in Zurich

Vontobel is also different from other wealth managers and private banks in Asia because it doesn't maintain a booking centre in the region and offers only Swiss accounts. Fung says that's a plus for anyone interested in diversification.

"We have real-time client servicing capability in Asia," he says. "It's all connected in real-time to our platform in Zurich. This is one of the attractions for diversification, not only in terms of investment but also domicile of client's capital in an historically safe country and city. By not having a heavy cost platform in Asia, our cost structure is much lighter."

This approach means Fung's team aren't under pressure to call clients to sell them products.

"If you have a much lighter cost, you don't need to encourage transactions," says Fung. You don't call your client in because you have rent to pay. You don't do that in the Vontobel model."

But what Fung really wants Vontobel to be known for is its trusted adviser model. Just as families rely on a doctor or lawyer that has perhaps attended to them for generations, he says they should be able to do the same with their wealth management adviser.

"Health is paramount, but financial health is equally important," he says. "Clients need someone they can trust to advise on investments."

Sustaining wealth and legacy

Trusted partnerships are key to shaping multi-generational goals.

Ronald Chao's daughter, Ronna, is the envy of his friends. Unlike many next-generation children of wealthy families, she is a driving force behind the family business, its philanthropic efforts and its finances.

Ronna's business cards include one for her role as chairman of Novetex, the family textile business founded by her grandfather; one as chief executive of the Bai Xian Education Foundation and Bai Xian Asia Institute, the principal vehicles for the family's philanthropy; and one as chief executive of Novel Investment Partners, through which the family manages its wealth.

"My father's friends ask him: 'How do you get your daughter to do all this stuff for you?'," she says.

Part of the reason is a shared experience Ronna and her father both had of studying in Japan, which gave rise to the family's education foundation.

As an overseas student in post-war Japan, Ronald developed a lifelong belief in the value of cross-cultural education as the key to a harmonious world built on mutual understanding, respect and equality. The foundation's Asian Future Leaders Scholarship Program seeks to create a generation of alumni who share these values.

"The basis for the foundation is that when these young people become leaders in their own respective capacities, they will have the understanding and the willingness to learn about others and not be clouded by preconceptions," says Chao, who carries on her father's vision and

values to continue growing the foundation.

This type of philanthropy has become more common during the past few years, as Asia's wealthy families move away from charitable giving to an approach that favours more engagement.

Furthermore, Covid-19 has served as a wake-up call and has changed the way many philanthropists in the region address issues, including much more collaboration. This approach is also carrying over into other systemic challenges, such as climate change.

"Modern philanthropists want to roll up their sleeves, get their hands dirty and actually understand the impact they are having," says Cynthia Lee, regional head of wealth planning and advisory for Asia Pacific, Global Private Banking at HSBC. "They are also very willing to look at much longer time horizons in order to build something sustainable."

HSBC is an active partner with such families, helping them to grow their legacy and achieve goals across generations, as well as working with them to preserve, protect and grow their wealth.

Family offices

As many wealthy families in the region seek to manage the transition to younger generations, HSBC Global Private Banking has seen an extraordinary rise in demand for the creation of new single-family offices in Asia.

While some have been around for decades, the bank estimates that 44 per cent of Asia's 1,300 family offices were set up in just the past two years.

Such offices can play an important role in organising the management of family wealth as it passes from first-generation wealth creators. Many more families in the region will face this transition during the next decade.

Worldwide, there are about 7,300 such offices managing US\$7.9 trillion of wealth, and that figure is set to grow substantially as the boom in Asian family offices continues.

Generational wealth transfer is not the only reason for formalising wealth into a family office. Lee says that it can also make sense to adopt this kind of platform to be able to work more efficiently with professional and trusted wealth experts.

This was the motivation for the Chao family. By the 1990s, the operational side of the business was self-sufficient in terms of funding and even investing in growth, which meant that cash was accumulating in the bank at a time when deposit rates were not very attractive.

"There was a conscious effort among the shareholders to have a more structured and systematic way of managing our cash," says Ronna. "We started just from an investment angle."

The family started out writing big cheques to private equity funds, but as the operation matured it developed a more diversified portfolio that focused on different strategies, sectors and investment horizons.

Today, the family's portfolios range from plain vanilla to buy-out, and include sectors such as biotech,

China, property and artificial intelligence.

"We've grown as we've gone along," says Chao. "We really look at our family office operation as a business now, instead of just trying to find things that would improve our returns."

Family governance

Another driver behind the growing popularity of family offices in Asia is the need for accountability and transparency among family members, particularly as generational transfers mean that wealth is spread among a larger group of stakeholders.

"A family office is a good way for families to have visibility into how decisions are being made," says Lee. "It can be helpful because it puts in place checks and balances, and provides a structure for interacting with the ultimate stakeholders."

Certain governments in the region have also incentivised the creation of family offices to further develop their role as financial centres. Singapore has been ahead of the game in this regard, says Lee, but Hong Kong has also introduced several initiatives recently.

In the 2021-2022 budget, the city's financial secretary undertook to review tax arrangements for family offices and InvestHK set up a dedicated team in June 2021 to promote Hong Kong as a hub for family offices.

These family office-friendly policies, procedures and tax breaks have also helped families to set up secondary, satellite family offices in response to emerging geopolitical issues, the Covid-19 pandemic or even just the dispersion of family members around the world.

"This is a trend we've seen during the past two years," says Lee. "Hong Kong as the core office and a satellite office in Singapore is quite common, but we also see smaller offices in London or New York."

With more than 10,000 ultra-high-net-worth families in the rest of the Greater Bay Area, Hong Kong's potential as a family office hub is clear.

Growth challenges

Meeting that growth potential will be a challenge. With so many family offices being set up in the region, it can be difficult for newcomers to hire experienced personnel. Even for established offices, retaining staff can be an issue.

The pandemic has also brought a rise in cybercrime that has affected businesses worldwide, including family offices, many of which have embraced digitisation to aid communication with family members and ensure transparency.

"As with any business, the more you digitise, the greater the cybersecurity threat becomes,"

says Lee. "And because they handle very confidential, sensitive information, they need to have the right protections in place."

In such a competitive environment, it is more important than ever to partner with expert wealth advisers. Private bankers such as Lee work with family offices to help them overcome the challenges they can face on their journey, from initial set-up to continuing operational issues, including jurisdiction choice, tax advice and legal structures, as well as acting as a connector that can direct them to external consultants.

For Chao, the key to building a successful family office is to start out with a clear goal. Looking back, she laughs at some of the decisions she and her family made in the early days, but says that the foundations they built on were strong.

"Your goals can evolve, but it's important that you define them from the outset," she says. "Over time you figure out your own strengths, see where the gaps are and then find people to help you fill those gaps."

Sustaining wealth and legacy requires a long-term partnership built on goals and values that are shared within the family, across generations and by trusted advisers who can help to shape and refine this common sense of purpose.

The Payment Flows of a B2B Marketplace

Making sure that marketplace payment flows move quickly, accurately and securely is fundamental to the success of a B2B platform. Working with fintech partners is the key to getting it right.

Managing B2B marketplace payments can be complicated. Trade purchases often involve large order volumes, high transaction values and long payment terms. Add in multiple currencies and international tax and regulatory considerations and it's easy to see how bottlenecks can occur.

To ensure a smooth payments journey, B2B marketplaces need specialised solutions and processes to handle complex transactions, manage credit risk, ensure compliance and win the trust of business partners.

Not every marketplace gets this right. It's estimated that just one-third of total B2B expenditures globally are processed electronically, opening the door to mistakes and delays. With 25% of sellers representing 88% of all marketplace revenue, such problems can be costly.

To avoid some of these pitfalls, it's helpful to understand all the different players and moving parts in marketplace payment flows, the common challenges that marketplaces face and the solutions you can employ to make everything work smoothly.

The different roles in a marketplace transaction

B2B marketplaces are made up of buyers, sellers and the marketplace itself, with payment service providers (PSPs) facilitating transactions.

Buyers initiate transactions by placing orders for the desired products or services and

authorising payment for the purchases made.

Sellers offer products or services on the marketplace, send invoices to buyers after receiving an order and arrange delivery.

Marketplaces act as intermediaries, providing a platform where buyers and sellers can connect. They facilitate transactions by hosting product catalogues, enabling order placement and often integrating with payment service providers to streamline payment processes.

Payment service providers (PSPs), including banks, payment gateways and fintech companies, ensure the smooth transfer of funds between buyers and sellers. They handle payment authorisation, fund transfer and often provide additional security measures to protect sensitive financial information.

HOW MONEY MOVES IN A MARKETPLACE

To better understand marketplace payment flows, let's break the process down into the different stages:

Order placement

Buyers browse the marketplace, choose desired products or services, and place orders. The marketplace confirms the availability of the items and generates an order summary.

Invoicing

Sellers receive the order details and generate invoices, including itemised costs and any applicable taxes or fees. These invoices are sent to buyers for payment authorisation.

Payment authorisation

Buyers review the invoices and authorise payment, either manually or through automated processes. The marketplace validates the payment details and confirms the availability of funds before proceeding.

Fund transfer

Once payment is authorised, the PSP facilitates the secure transfer of funds from the buyer's account to the seller's account. This may involve encrypting sensitive data, adhering to compliance regulations and confirming transaction settlement.

Reconciliation

The marketplace and PSP ensure that the transaction details, including amounts, fees and commission charges, are accurately recorded and reconciled.

THE TOP 3 PAYMENT FLOW CHALLENGES

As money moves through the steps described above, there are several challenges that can prevent marketplaces from achieving a smooth and secure payment process.

Payment delays

Various factors can cause delays, such as manual payment authorisation processes, technical glitches or issues with fund transfers. These can affect cash flow for both buyers and sellers, leading to dissatisfaction and potential disruptions in business operations.

International transactions

Cross-border transactions introduce additional complexities, including currency conversions, regulatory compliance and varying payment methods across different countries.

Security concerns

With the rise in cyber threats, ensuring the security of sensitive payment information is paramount. Marketplaces and PSPs must implement robust security measures, such as encryption, tokenisation and multi-factor authentication, to protect against fraud, data breaches and unauthorised access.

FINTECH SOLUTIONS

Platforms can address these challenges with fintech solutions that help to keep B2B marketplace payments flowing smoothly. The following are all areas where fintechs can help to support marketplaces.

Cross-border payments

International payment solutions simplify currency conversions,

handle compliance with regional regulations and support multiple payment methods. They can also handle payment authorisation workflows, multi-level approvals and comprehensive reporting.

Secure integration

APIs and enterprise connectivity solutions allow secure, seamless data exchange between marketplaces, buyers and sellers. This streamlines processes such as order management, invoicing and payment reconciliation, ensuring accurate and efficient payment flows.

Trade credit

Trade credit solutions allow sellers to offer extended payment terms without sacrificing cash flow. This ensures liquidity and working capital for sellers while offering buyers the payment flexibility they expect.

Such solutions can also mitigate credit risk, protecting sellers against non-payment or default by buyers.

Financial crime

Artificial Intelligence and machine learning algorithms can detect and prevent fraudulent activities in B2B payments. Advanced analytics and pattern recognition help identify suspicious transactions, without unnecessarily flagging legitimate transactions.

KEEPING PAYMENTS FLOWING

Payments are no longer an afterthought for marketplaces — they are now a key part of the customer experience and can be used to build trust and reputation, which are increasingly important qualities for B2B marketplaces.

Efficient and reliable payments can also be a crucial differentiator as marketplace competition grows and margins come under greater pressure.

Fintech providers are making it easier than ever for B2B marketplaces to unlock these benefits, helping them to drive growth to the next level.

The role of trust and reputation in B2B marketplaces

Business buyers want the ease and convenience of consumer marketplaces, but with lower risks.

The online B2B experience is increasingly consumer-like, with many business buyers now expecting a flawless digital journey. But the stakes are much higher on B2B marketplaces than for consumer platforms, which means there's a huge emphasis on trust and reputation.

Getting this right can really pay off for B2B marketplaces. Business buyers are increasingly willing to make large purchases online, with McKinsey reporting that around 70% of decision makers are willing to spend up to US\$500,000 on a single online transaction. And a rapidly growing number of businesses say they're comfortable up to US\$10mn.

Building this level of trust and reputation takes time, but it also starts with the first click. A customer experience that's flexible, saves time and cuts risks will drive growth. Indeed, Bain's B2B Elements of Value show that ease of doing business is central to winning customer loyalty — even for large purchases.

BUILDING TRUST IN B2B MARKETPLACES

Trust is hard to win and easy to lose, especially in highly competitive sectors. Businesses tend to be loyal customers when everything is going smoothly, so it pays to invest in building and maintaining trust.

The basic elements of a trusted marketplace are simple:

- **Buyers and sellers are who they say they are**

Verification and authentication are the cornerstones of a trusted marketplace, allowing buyers and sellers to transact without worrying about vetting each other. Attracting established, reliable suppliers can also add credibility and instil confidence.

- **Payments arrive on time**
Fast, secure payments are essential. When sellers get paid upfront, they immediately start trusting the marketplace. That's why Hokodo guarantees marketplaces receive 100% of the payments they're owed, even if buyers are unable to pay us. This covers fraud, non-payment, clawbacks and insolvency.
- **Private data stays private**
Protecting sensitive business and customer data requires robust security measures. Strong data security practices aren't always visible to customers, but failures will be.
- **Highlight social proof**
Positive reviews, testimonials and success stories from existing customers help potential customers feel confident about engaging with the marketplace.

THE IMPACT OF TRUST ON CUSTOMER INTERACTIONS

When buyers and sellers trust each other, it fosters collaboration, reduces transaction costs, mitigates risks, and encourages loyalty and repeat business,

leading to mutual benefits and sustainable success for everyone.

Less risk

Most businesses are inherently risk averse. B2B transactions often involve large sums and long-term commitments, so trust reduces the perceived risks and encourages more transactions. Buyers are more willing to purchase from sellers they trust and sellers will go further to meet customer expectations when payment certainty is high.

Lower transaction costs

The cost of doing business is lower when buyers and sellers trust each other. A marketplace that inspires confidence means that buyers and sellers are comfortable committing to purchases with fewer checks. Marketplaces can command a share of these cost savings through premium pricing.

Enhanced collaboration

Trust encourages buyers and sellers to work together, encouraging them to share information, resources and expertise more freely. This can flow into smoother conflict resolution too.

A foundation of trust allows for more open communication and a willingness to find mutually beneficial solutions, which means that many problems can be resolved without the marketplace owner needing to get involved.

REPUTATION MANAGEMENT IN B2B MARKETPLACES

Trust is at the core of the relationship a marketplace

establishes with each customer, whereas reputation is the external perception of the business. As such, it is more difficult to manage and requires a consistent approach to business standards, customer service and communication.

Establishing a positive reputation

Transparent and ethical practices are what Bain calls “table stakes” in the B2B sector. It’s important that these are at the heart of a marketplace’s values.

Beyond that, marketplaces should aim to consistently and promptly address customer concerns, treating every interaction as an opportunity to establish a reputation for customer-focus and great communication.

How reputation drives success

Marketplaces are growing quickly and a strong reputation is often a key differentiator. In the US, more than 90% of sellers already conduct at least some of their business through marketplaces, but in Europe marketplaces are in a more nascent stage. That creates an opportunity to build reputation and capture market share.

Managing and leveraging online feedback

The consumerisation of B2B means that business customers are turning to social media, review sites and other forms of social proof to establish confidence in the way that consumers have done for years. Marketplaces are embracing this by sharing good reviews, customer testimonials and case

studies, while also closely monitoring online feedback and social media mentions to spot emerging problems and address them quickly.

Trust and reputation as competitive advantages

Amazon established its market position by starting out with a very clear focus on putting customers first. Similarly, B2B marketplaces can stand out from their competitors by prioritising trust and reputation.

Trust and reputation not only drive business growth, but also attract and help to retain talented staff — and a skilled workforce contributes to a marketplace’s competitiveness and ability to deliver exceptional customer experiences.

Why corporate buyers are embracing the online revolution

Digital tools are revolutionising middle-market M&A.

Finding large volumes of relevant deals is easier than ever before thanks to a new generation of digital tools. These innovative solutions are making it possible for smaller companies to implement strategies such as programmatic M&A, which were once only available to large players.

The traditional approach to M&A relied on old-fashioned networking and endless “catch-up” meetings to maintain brand awareness and secure a pipeline of potential acquisitions. This approach has always worked much better for large corporations. Smaller corporate buyers either missed out on the best opportunities or had to devote disproportionate resources just to get a foot in the door.

This is changing fast and is even accelerating in the wake of the Covid-19 pandemic. M&A is no longer about who you know — it is about the tools you use. And, more important, those tools are now available to a much wider audience.

Leveraging matching algorithms, cloud services and secure communications, online platforms are introducing new levels of efficiency to the M&A process. That means deals move faster, more smoothly and are less expensive to complete. It also means they fail less often.

Brand pull

Amplifying your M&A brand online provides the best opportunity to bring your ambition, capital and skills to the table. This is one of the main reasons why companies are

embracing digital platforms to take their M&A to the next level.

There is an obvious network effect from such platforms that works to the benefit of everyone involved. Connecting with an international community of active dealmakers who are always on the lookout for the next deal maximises the chances of success for corporate M&A teams. It also reduces many of the costs, frictions and pain points that have hampered M&A in the past.

Whether looking to buy or sell an asset, access to a highly engaged network of brokers, investment firms and other corporate M&A teams ensures visibility for your M&A brand.

Companies can also showcase their leadership through such platforms. Dealsuite members can take part in sector meetings that draw on the largest M&A community in Europe, with more than 4,000 engaged M&A professionals.

Market intelligence

Active acquisition strategies are supported by market intelligence that allows M&A teams to spot industry trends, analyse and compare potential targets, and refine opportunities. Armed with clearly defined investment interests and criteria, companies can gain access to a large volume of relevant dealflow.

Teams are notified every time a deal comes to market that matches their criteria. This can include everything from sector and geography to more finely tuned screens that look at earnings,

growth and details about the size of stake on offer and type of transaction.

Matching algorithms guarantee that only the most relevant deals are placed in front of corporate buyers. This technology makes it easy to review opportunities and stay abreast of the market with minimal effort.

This is allowing M&A teams to become much more strategic about M&A, even at the SME level. Instead of throwing all their eggs into one basket with large, heroic acquisitions, companies are using these real-time analytic tools to identify smaller opportunities. This means they can acquire assets that are much more targeted, easier to integrate and immediately add value — and they can do so more often.

Agility is key in the modern M&A marketplace and accurate intelligence is essential in providing the confidence to move quickly on opportunities when they arise.

Communication

Of course, finding opportunities is only the first step. Open channels of communication are also vital to converting those potential opportunities into deals. This is where platforms such as Dealsuite.com come into their own, providing proprietary, exclusive contact about potential deals. Corporate M&A teams can enter into direct communication with the right people about relevant deals.

This also works in the opposite direction. Based on a company's listed M&A preferences, sellers and their advisers can reach out to

potential acquirers or investors with proposals directly.

A sophisticated M&A strategy will also involve divestitures and the ability to conduct direct market outreach to relevant professionals is a valuable resource. This can significantly reduce the time it takes to close a sale, minimising the cost and disruption of shedding non-core assets.

Execution

Once a deal is underway, getting it across the line efficiently is the priority. The best-in-class data

room from Admincontrol by Visma is the industry's most trusted resource for managing transactions. It is available to Dealsuite members, providing a user-friendly and secure platform for due diligence, document review and secure messaging.

"We recommend Admincontrol's data rooms to our clients because it is a highly secure data room," says Kristin Bratengen, director at Oaklins. "Both the administration and monitoring of the data room is

simple and it is also very easy to use for first time users."

Closing

One of the founding principles at Dealsuite was to make the M&A process more effective so that buyers and sellers can close more deals. As an active community founded by M&A professionals and advised by a board of industry specialists, the platform is continuously being developed with security at its core.

At Dealsuite, we are your trusted partner for the future.

Finding FinCrime when we don't know what to look for

Financial criminals are becoming increasingly sophisticated, and so are the tools needed to catch them. Trust and transparency are key to successful deployment. Models that emphasize explainability and auditability can act as virtual teammates, working in partnership with their human operators.

Artificial intelligence is an essential tool in the fight against financial crime, but how do we learn to trust the AI super sleuth?

Understanding is the key. Fundamentally, AI is a crime-fighting partner, not a black box. Knowing how AI models work to detect FinCrime can help to demystify some common misconceptions and build trust.

Domain knowledge

The starting point for any good model is a basic understanding of FinCrime. To ensure quality outputs, we need to make sure that the model is working with good input data. Domain knowledge is critical to this process.

"Today's approaches to ML and AI are generally domain-agnostic, ignoring domain knowledge that extends far beyond the raw data itself," said the authors of the Argonne National Laboratory paper AI for Science. "Improving our ability to systematically incorporate diverse forms of domain knowledge can impact every aspect of AI."

Anomaly detection is at the core of FinCrime models and relies on the incorporation of such contextual knowledge. This starts with the basic characteristics of financial data, such as transaction size, currency, time, and location, through to more detailed characteristics and statistical relationships.

Machine learning helps to identify anomalies far more efficiently than is otherwise possible. Data scientists decide what features to input into a machine learning model, but they do not decide which features are important to the model. Anomaly detection models can determine the important features on their own.

Knowing that the model has been trained on high-quality data that has been prepared appropriately gives operators the confidence they need to trust its outputs.

Proprietary risk factor and pattern repositories

Because we can use the same risk factors and patterns with multiple financial institutions, the repositories we use grow over time.

We develop these factor repositories with domain experts. One example is Benford's Law, which can be a useful statistical technique to flag questionable financial transactions. To put it simply, Benford's Law says that the numeral 1 will be the leading digit in a genuine data set of numbers 30.1% of the time, while the numeral 2 will be the leading digit 17.6% of the time. Each subsequent numeral through 9 will be the leading digit with decreasing frequency.

This produces a distinctive distribution — it looks like a slide. These consistent distributions

appear in real-world data sets across domains, from stock prices to likes on social media. However, Benford's Law doesn't apply universally. It's important to understand the nature of the data set and the expected distribution of numerals. At Hawk AI, we have observed that many merchant transactions follow Benford's Law, so we added it as a risk factor. Now the model can detect transactions that don't follow these distributions and raise alerts.

Positive feedback loops

AI models learn as they are corrected. As more cases are reviewed by operators, the model gets better at detecting FinCrime. In this sense, AI isn't replacing human operators but working in partnership with them — a virtual teammate.

This is fundamentally different to traditional rules-based screening and transaction monitoring, where human operators repeatedly correct the same mistakes with little or no improvement in the overall result. As well as being fruitless, it can be boring, repetitive work.

With an AI model, the human operators are constantly improving the quality and accuracy of the output. The decisions that operators make are incorporated into the model itself. This doesn't just produce better results for the model, but also helps the human operators to trust the results of AI

and machine learning models. They know that their subject matter expertise played an important role in the results.

Explainability

Financial regulators are increasingly stressing the importance of explainable AI, and rightly so.

Trusting the outputs produced by an AI model requires that users can understand how it makes decisions. Indeed, this is a broad principle of AI in all sectors and not only FinCrime. As AI becomes more complex, rules around transparency and responsible development are a topic of growing significance.

At Hawk AI, our models produce natural language explanations for each risk factor when an anomaly is detected. In its role as a team member, the model supports the investigation by allowing human operators to look into specific transaction and risk factor groupings. The model generates these explanations in plain language that anyone can understand. Operators don't need to be specialists in data science to understand why the AI identified specific activities as suspicious.

Auditability

AI should be auditable as well as explainable, particularly as regulations around the use of AI in finance continue to develop. If a financial institution can't rely on AI solutions to provide results that regulators can audit, the solution isn't much use at all.

Auditability is also a powerful and important component of trust. Not only should a good model explain itself in plain language, but every decision it makes should also be logged and reproducible. This is a core feature of Hawk AI's models. Tracking artifacts show how the model was trained, why it made a certain decision, and why it gave the score it did. If an auditor asks a financial institution these questions, the model will provide the answers.

Model validation

Before any model is deployed, it goes through a validation process, which looks like this:

- Stage 1: Set strict criteria for model deployment.
- Stage 2: Set performance benchmarks for models.
- Stage 3: Compare new model iterations to previous models.

- Stage 4: Make adjustments based on the model's performance.

When FinCrime investigators know how a model was developed and validated, they can rest assured that it will generate reliable results.

Building trust

The effort that goes into developing and validating models creates the foundation for strong and effective partnerships with operators. Together, AI super sleuths and their human teammates can detect anomalies with unmatched speed, accuracy, and transparency.

With criminals now using their own AI, financial institutions of all sizes need to take the threat seriously. Rules-based transaction monitoring systems can't keep pace with the development of modern FinCrime. Catching these criminals requires a sophisticated suite of tools to detect anomalies as they happen. AI models can learn the techniques and spot them in the future, as well as detecting previously unknown risks, all while explaining what they're doing and why. All of this results in AI models that operators can trust to detect financial crime.

Five ways multibanking is changing banking

The introduction of open banking rules in Europe in 2018 kickstarted a digital revolution in how consumers interact with banking services.

While the sensitivity of financial information means traditional banking services require siloed security systems that customers traditionally access through bank-owned branches, websites and apps, open banking has opened the door to a new era of multibanking.

Secure data flows let third parties verify account details, initiate payments and provide enriched analytics within a single interface that connects multiple bank accounts.

So, how is multibanking changing the way customers interact with their money, and why will open banking play such an important role in the development of multibanking solutions?

What does multibanking mean for financial services?

The digitization of banking has seen a transition from physical bank statements to online banking, but the ability to consolidate and control multiple accounts through a single interface represents a much bigger shift. Multibanking will fundamentally change the customer's relationship with financial service providers.

A handful of third-party providers (TPPs) have developed cutting-edge personal finance management apps that serve as a central node to connect multiple accounts. The ultimate goal of multibanking platforms is to become the go-to destination for customers to manage their funds and interact with their accounts.

As individuals and small businesses continue to harness the power of multibanking and cherry-pick financial products to suit their specific needs, traditional financial service providers must rethink how they build customer loyalty.

Five benefits of multibanking

Reducing direct engagement between end-customers and financial service providers gives customers a better financial overview and unlocks a host of benefits that can boost customer experiences.

Here are five key benefits of consolidating multiple accounts through a single banking interface:

1. Searchability.

Retrieving information about a specific transaction, spotting duplicate payments, or conducting an audit of historical transactions can be extremely time-consuming for customers with multiple accounts across a range of banking providers.

Open banking allows third-party multibanking providers to retrieve key account information and categorize transactions.

With consumers in the euro area making roughly 50 billion retail payments a year, searchability is vital to cut through the noise and stay in control of personal finances.

The ability to search across multiple accounts improves financial visibility and lets customers find exactly what they're looking for with the click of a button. Categorization and account

insights further help users to understand and manage their finances better.

2. One login.

Accessing multiple accounts through a single interface gets rid of the need to use different logins for individual accounts and simplifies authentication processes by providing a gateway to multiple accounts.

Open banking rules focus on data privacy and security. Approved third parties comply with strict regulations and use Strong Customer Authentication (SCA) to bolster verification measures and provide a stable foundation to support future open banking applications.

For users, the centrally managed security procedure enabled by multibanking means customers only need to deal with a single authentication process, which lowers the technical burden to access banking services.

3. Business insights.

If you're a small business owner, knowing exactly how your company's liquidity is developing on a daily basis is vital to manage resources and inform time-sensitive investment decisions.

While traditional methods of account reconciliation involve a time-consuming and error-prone process, open banking in Europe provides a universal option to automatically cross-check thousands of data points across a range of independent accounts.

Small businesses can harness the power of automatic account reconciliation to retrieve real-time statements from multiple banks and create an up-to-date snapshot of their financial status.

4. Seamless transfers.

Open banking payments facilitate seamless transfers between accounts in a safe and secure manner.

For example, if a business wants to make a cash injection into a certain department or an individual wants to pull money from a current account into a savings product, open banking supports fast and pain-free payments through a single interface.

For third-party financial service providers, partnering with an open banking platform that's part of an established banking ecosystem with international reach will reduce barriers to entry when engaging with new customers and boost conversions.

5. Cash flow management.

Poor cash flow management is one of the main reasons small businesses fail. Linking multiple business accounts to monitor cash flow in real time promotes sustainable growth by helping companies manage their debts and operate within their financial limits.

If your accounts are scattered across multiple banks, it can be difficult to anticipate cash flow and effectively manage spending. In an uncertain economy, cash flow management is more important than ever to give businesses the financial visibility they need to regain stability.

Experience Europe-wide connectivity with Klarna Kosma

Klarna Kosma's established ecosystem of European banking partners gives us both the technical capability and market exposure to support fintechs and TPPs with sophisticated open banking solutions.

We offer powerful tools to help financial innovators develop intuitive multibanking solutions with seamless UI flows. We also offer a white-label service so your business can reap the benefits of conversion optimization while also maintaining brand consistency with a bespoke on-brand front-end.

Kosma harnesses open banking to break down barriers in finance and improve connectivity between banks, TPPs and end-users. We're focused on simplifying open banking and connecting TPPs with the fastest-growing banking network in Europe. With a single API and just a few lines of code.

Learn more or request API credentials for Kosma's playground

Visit Klarna Kosma to learn more about open banking, schedule a demo or request your API keys for our playground environment. Let's connect and get started.

Open banking makes game-changing ideas powerfully real

Conor Tiernan, UK & Ireland lead for Klarna Kosma, recently shared some of his thoughts on how open banking is changing the way that online businesses operate.

Open banking is making payments cheaper and faster, and enabling businesses to get better insights into customers' banking data to make better decisions.

Online businesses can take payments from customers in many ways. But some of them are quite costly. That's where being able to embed a pay-by-bank solution quickly and easily into your website can cut costs and get the funds to you sooner, meaning you can deliver goods or services quicker.

How businesses benefit from open banking

Let's say you're an insurance provider. To provide the best policies to your customers, you want to understand more about them. Letting them quickly and easily connect their bank account is a great way to do this. You can understand their spending history and get a clearer picture of their financial habits, which you can use to arrive at a quicker and better-informed decision. And that's good for customers too. As an insurer, you want to make sure that your customers always have the right amount of cover for their needs. With open banking, you can make this happen.

If it sounds too good to be true...

Of course, there are some challenges when it comes to implementing open banking. These are the big ones:

- **Going global.** When you start in your home market, it's relatively straightforward to connect to the banks. But it's a completely different ballgame

as soon as you step foot in the international market. You need to consider all the different countries and banks you need to connect with and there are additional licenses that you need to look at as well. It can be a huge headache.

- **Integration.** Integration is not necessarily too complex on a bank-by-bank basis, but there are potentially 6,000 banks that you need to connect with across the EU alone. That's where the integration side can get complex quickly.
- **Raw data.** Once you've built out your international strategy and integrated with all the banks you want to, now what? You've got a bunch of raw banking data, but that's not very useful by itself. What you want is enriched banking data, so now you've got another major project to undertake before you end up with something useful.

Solving the challenges

Working with a partner that's got a long track record is the key to overcoming all these challenges.

Klarna Kosma is unique because we've been connecting to banks since 2005 — and connecting to banks is what underpins open banking. We've got a huge amount of experience. We process hundreds of millions of bank payments each year over open banking. We enable customers to connect their bank accounts and carry out billions of open banking data sessions.

When you start working with Kosma, what do you get from day one? We give you the gateway to the world. We enable you to connect with bank accounts globally, so that you don't have to. Kosma has taken care of all these headaches for you.

Furthermore, our single API gives you a quick and seamless integration, meaning that you can reduce your costs because you don't need an army of engineers to maintain all these costly bank connections.

On top of that, we've built this enrichment layer that gives you the ability to provide insights. We've got an intelligence engine that gives you the categorization, the insights, and helps you generate reports.

All this is something that we've understood ourselves after being around so long. And that's why we put it into play and that's why Kosma is the go-to partner for open banking.

What is Klarna Kosma?

Kosma itself is an open banking provider. You might be interested to learn that we also provide the infrastructure to other open banking providers. Why would we do that? We do it because we have the widest reach in terms of bank connections and we want to enable others to bring wonderful open banking solutions to market. We provide the infrastructure, we've got the experience, we've got the products, and we've got a single API that opens the door for you as a business, a lender, or another open banking provider.

Improving the customer journey with embedded finance

Getting the customer experience right is critically important to building a scalable B2B e-commerce platform.

You can have the right product, at the right price, delivered to the right audience, but it might all count for nothing if you don't make the customer journey as painless as possible.

Zero friction

This has long been understood in the consumer world. Companies like Amazon have invested millions of dollars in getting rid of every possible point of friction that stands in the way of a sale. Their research into why customers abandon shopping carts has revealed a lot about how to build a zero-friction customer journey — and many of those lessons are just as valid in the B2C world.

Whether customers are shopping for sunglasses or freight forwarding, they want to be able to find the right product and pay for it with as little hassle as possible. And that last part has been one of the biggest obstacles to B2B e-commerce in the past. Building a website is easy, but offering the kinds of flexible payment terms that business customers are used to is much more difficult.

Flexible payments

Buyers who typically settle invoices after 30 days want the same flexibility when ordering online. A common solution has been to take a hybrid approach, allowing buyers to order online but asking them to call the merchant or submit documents if they want flexible payment terms.

You don't need to be Jeff Bezos to see how this creates friction. Every extra step the customer has to take will result in missed revenue. And vice versa. Every step you can get rid of will improve your sales conversion numbers.

Just like buy now-pay later services on B2C websites, the solution for B2B platforms is to embed net payment options at the point of purchase, making it as convenient as possible for the buyer to complete a transaction using data they have already provided through their onboarding and purchasing history. Instead of having to go to an insurance broker to insure the transaction or a factoring company to get an

advance, everything happens on the merchant's website.

This has several benefits:

- **Less friction** – Removing the number of manual steps in the buying process makes buyers more likely to convert and to keep coming back.
- **Improved loyalty** – Providing access to a line of credit helps to build a trust relationship between buyer and seller, which improves customer loyalty to your business. We see buyer retention grow by 40%.
- **More customers** – Combining a variety of data sources improves the ability to screen buyers and increases the acceptance rate for payment terms.

At Sprinque we offer all the above functionality through a simple integration. In addition, by paying the marketplace or merchant at the time of the final invoice, we reduce the risk of default and free up valuable working capital.

How we built this

In conversation with Traian Visinescu, founder and chief executive of Relay Medical.

Sprinque's Juan Espinosa spoke to Relay Medical founder and chief executive Traian Visinescu about transforming the medical procurement industry.

Traian founded Relay Medical to solve the inefficient and out-dated way that hospitals and clinics buy equipment and disposables.

The problems in the industry were obvious. Hospitals and clinics spend millions on equipment and disposables each year, but much of the sector is still using paper catalogues and spreadsheets. It is a system that needs a lot of administration and an army of expensive middlemen.

Traian discovered that for every euro spent on equipment or disposables, 60 cents goes to overhead. And the inefficiencies add more in indirect costs. Hundreds of surgeries are cancelled each week because of missing supplies — the right needle or screw isn't available.

Why do these problems still exist in a world where you can tap your phone and a pizza arrives at your door in 10 minutes?

With Relay Medical, Traian set out to fix this costly process with an online solution that would automate most of the procurement tasks and model buying patterns to make sure that medical providers never run out of stock.

The payments piece was the final part of the puzzle that has allowed the business to scale.

Here are some of the key takeaways from the conversation:

Payment terms are crucial. During the pandemic, medical supplies were in such high demand that Relay was able to grow without offering payment terms. But it quickly became clear that not offering credit was an obstacle. As the world has normalised and Relay pursued more growth, buyers are demanding it, so Relay worked with Sprinque to create a white label

solution, Relay Pay. The relationship between Relay and their customers stayed as it is, with Sprinque powering payments in the background

Cash flow is king when you're a start-up. Offering 90-day payment terms on bulk purchases of expensive medical supplies was capital-intensive, stressful and made it difficult to raise finance. Working with Sprinque has moved this risk off Relay's books. They get paid when they issue the invoice, without having to worry about late payments.

Solving payments was a multiplier. As well as freeing up cash flow, working with Sprinque meant that Relay could focus on adding value for their customers. The quality of conversations they were having improved, which feeds back into better product development and higher quality growth.

Finding the sweet spot

How to strike the right balance between compliance and conversions.

INTRODUCTION

Striking the right balance between customer experience and a fully compliant onboarding process is an increasingly tough challenge for fintechs. Organizations focused on agile growth often seek to prioritize a seamless user journey that maximizes conversions while minimizing friction. Getting it right is difficult.

Onboarding customers while satisfying requirements for anti-money laundering (AML), fraud screening, data protection, and account authentication can be complex, expensive, and negatively impact the user experience. Inevitably, compliant processes add friction and detract from fintechs' ability to respond and adapt to market opportunities.

Customers care about security and privacy but also have high expectations regarding user experience. Is it possible to have it all?

At Fourthline, we have demonstrated experience that it is. In this Whitepaper, we outline the common challenges fintechs face when balancing compliance and conversions and our recommendations for finding the sweet spot.

Common challenges

There are many ways for fintechs to strengthen their compliance, but most methods are complex and lead to a variety of negative outcomes, such as:

- Slow onboarding leading to customer dissatisfaction

- Poor conversion rates leading to a lack of competitiveness
- Colossal compliance investments leading to business rigidity
- Strategic inflexibility slowing growth and scaling goals
- Risk exposure leading to fines and reputational damage

In this section, we've laid out **today's three most significant challenges** when balancing compliance and conversion.

CHALLENGE 1: Extreme regulatory complexity leading to fines and reputational damage

Identity verification is not a single event anymore; it's a journey from customer onboarding and authentication to account recovery. Know Your Customer (KYC) onboarding helps to prevent financial crimes and protect against fraud. Anti-Money Laundering (AML) and fraud screening are designed to detect and prevent financial crimes. Account authentication helps to ensure that only authorized individuals have access to customer accounts. Finally, re-KYC helps fintechs periodically verify their customers' identities to ensure that their information is up-to-date.

On top of KYC-AML-focused regulations, European fintechs must comply with EU regulations such as the Second Payment Services Directive (PSD2) and the

General Data Protection Regulation (GDPR), among others.

For fintechs, balancing conversions and meeting all these regulatory requirements is a considerable challenge, as it is time-consuming, costly, and often requires extra resources and investment.

Additionally, in Europe, each country has defined specific rules. This situation creates immense regulatory fragmentation. It adds complexity for fintechs seeking to comply with the rules of several member states and usually ends up slowing down their European expansion

Lastly, governments and regulatory authorities are constantly updating and revising these regulations. Fintechs need to stay updated with these changes to avoid huge fines or reputational damage. However, as relatively new players in the financial services industry, they often don't have the same resources or knowledge to keep up with these changes.

CHALLENGE 2: Colossal compliance investments leading to strategic rigidity

Implementing a streamlined and efficient KYC process is one of the most critical steps in balancing conversions and compliance. This can be achieved using technology such as AI-powered ID verification, which has proven to speed up the account opening process and drive

conversions while ensuring compliance with regulations.

Implementing such technology requires a significant investment in IT, compliance, and legal expertise. This is a challenge for fintechs, particularly the ones with ambitious time-to-market and operational efficiency goals.

Moreover, balancing conversions and compliance in this area can also be challenging as **new technologies and standards constantly evolve and are costly to implement.** For example, a neobank may have to implement the latest security standards to comply with EU regulations and to secure customer data, which will lead to added costs, time, and effort.

Consequently, **such major investment impacts fintechs' flexibility.** Implementing a streamlined and efficient KYC process does require an organization to attribute a lot of

resources to fraud prevention. Unless its financial and people resources are vast, this move can impact the organization's ability to rapidly change its strategy or adapt its risk appetite when necessary.

CHALLENGE 3: Poor conversion rates leading to a lack of competitiveness

High conversion and high growth ambitions trigger a lot of fraud.

This is why European fintechs must balance the need to make their digital platforms user-friendly and easy to navigate with the need to ensure that the platforms are secure.

The challenge? Adding too many security measures can make the platform less user-friendly and deter potential customers. The more steps in a conversion funnel, the more opportunities customers have to drop off.

Fintechs must also set up a secure environment to protect customer data and funds. It's not just about identity fraud at onboarding. Making sure their customers' data and funds are protected can also add too many security measures, making the platform less user-friendly. At the same time, too few security measures can result in hefty fines and a loss of customer trust.

The most common misconception about introducing identity verification is that it increases hassle and reduces conversion.

While too much friction is bad for your conversion rate, a well-designed user experience that is simple for customers to complete will not cause visible enough difficulty to discourage new customers. So, rather than being a must, if done correctly, KYC verification and account authentication may be used to deliver better service to your customers.

COMPLIANCE REQUIREMENTS

The continuing battle against financial crime is the main driver of regulation. Criminals constantly imagine new innovative methods of fraud and money laundering. Consequently, EU member states have to adapt their regulatory framework. European financial institutions have been challenged to strengthen customer identification processes and customer relationships across the whole lifecycle.

Throughout Europe, regulators require financial institutions to adopt robust procedures to identify customers, assess potential risks, and perform continuing risk monitoring.

This creates a compliance and operational burden that requires fintechs to put in place:

Proper identity verification

Financial institutions are under growing pressure to verify identities and ensure that customers are who they say they are.

Effective watchlist screening

Failure to check customers properly against lists of politically exposed persons, sanctions, and adverse media reports carries potentially significant penalties.

Strong fraud detection

Financial criminals are constantly developing new techniques,

making it increasingly difficult to protect against fraud.

Comprehensive customer due diligence monitoring

The requirements above don't stop with onboarding. Financial institutions need to continue to monitor customers over time.

European governments and regulatory bodies have taken different approaches to how they want financial institutions to implement these compliant requirements. The following section focuses on Germany, France, and the United Kingdom to highlight the differences in approach from one country to another.

COMPLIANCE CHECKLIST

GERMANY

AML: Anti-Money Laundering Directive (GwG), EU AML Directives

Data protection: Federal Data Protection Act (BDSG), EU GDPR

Electronic payments: Payment Services Supervision Act (ZAG), EU PSD2

While AML rules in most of Europe are broadly based on the same EU directive, there are differences in how they are implemented. The German regulator in particular is more conservative than its counterparts in other European jurisdictions. As a result, video verification is the most commonly used KYC method.

Identification methods that meet national requirements in Germany include:

- In-person identification (Post Ident)
- Video verification (Video Ident)
- Electronic proof of identity (eID)
- Qualified electronic signature (validated through an electronic payment)

General KYC requirements include:

- Identify the customer
- Evaluate and monitor the nature of the business relationship
- Assess the customer's risk including establishing if the customer is a politically exposed person

FRANCE

AML: Monetary and Financial Code, EU AML Directives

Data protection: Act No 78-17, EU GDPR

Electronic payments: Law No 2000-230, EU PSD2

The French regulatory system prescribes a relatively limited list of approved forms of identification that can be used for digital onboarding. While this approach is more flexible than the German system, it is still complex and less straightforward than the UK's regime.

According to the National Cybersecurity Agency of France (ANSSI), digital identity can be verified directly using:

- Electronic proof of identity (FranceConnect+, l'Identité Numérique)
- Providers certified by the ANSSI
- Software certified by ANSSI

Otherwise, identity can be verified by combining at least two of the following measures:

- Obtain a copy of an official identity document
- Verify and certify an official document through an independent third party
- Require first payment be made with an account opened in the client's name
- Confirm the customer's identity through an approved third party
- Use an ANSSI-compliant service to verify the identity
- Collect a qualified electronic signature

UNITED KINGDOM

AML: Proceeds of Crime Act 2002; The Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017

Data protection: Data Protection Act, UK GDPR

Electronic payments: Payment Service Regulations

The Joint Money Laundering Steering Group indicates in their AML guidance that additional verification checks should be applied to manage the risk of impersonation fraud in case of non-face-to-face KYC, such as:

- Verify biometric data
- QES
- One cent transaction (UK or EU)
- Telephone contact
- Mail by post
- Internet sign on using security codes/tokens provided by mail to a verified address
- Certify copy of ID document

The UK regulator takes a risk-based approach to KYC, requiring that firms have sound processes in place, but there are no laws or rules that prescribe specific measures.

Broadly speaking, fintechs need to meet three basic KYC requirements:

- Identify the customer
- Verify the customer's identity
- Assess and monitor the nature of the business relationship

BEST PRACTICES

Few fintechs prioritize compliance early in their journey when the focus is usually on product development and growth. Even when they get around to thinking about it, too many see compliance as a box-ticking exercise and implement low-quality solutions that don't perform well.

Unfortunately, this approach leads to hefty fines, reputational damage, costly legal battles, and business closure.

To avoid such pitfalls, fintechs can implement the following three best practices:

Develop a compliance mindset early

While regulatory scrutiny may be lower in the early stages of a fintech's growth, good compliance practices will yield dividends as the business grows. It also helps you get ahead of the curve when compliance requirements intensify.

Focus on efficiency and flexibility

Implement solutions that can scale quickly in line with growth plans, have low up-front costs, and don't incur high expenses for unused capacity.

Harness automation, technology and outsourcing

Don't reinvent the wheel. Take advantage of solutions that address your operational needs, allowing you to deploy your resources where they can add the most value.

Fintechs that follow these principles have proved that an onboarding process can be efficient, seamless, and simple while meeting all regulatory requirements and preventing fraud.

What's the best way for fintechs to implement these best practices? Working with the right partner.

CHOOSING A PARTNER

The key to maximizing conversions is working with a provider who understands your needs. So what should you consider as a European fintech if you're looking for a compliance partner?

United

The specialist you choose should work with your teams as a true partner rather than a KYC provider. It should help you meet all your compliance needs at onboarding and across your clients' entire lifecycle. It should take care of your compliance so you can focus on your business.

Secure

Your partner should guarantee excellence in fraud prevention

without compromising on conversion.

Scalable

You don't need to trade growth for compliance. Your partner should offer a dynamic solution that adapts to your specific needs as you grow in size and/or expand into new markets.

Ready-to-use

Partnering with a specialist that offers a single API that integrate seamlessly with your technology will ensure your business complies with all regulations without navigating multiple systems or providers. It also helps to reduce the time and cost associated with compliance.

Streamlined

Partnering with a specialist that offers a service designed with the customer in mind will ensure your organization provides the smoothest customer experience and better conversion rates.

At Fourthline, we have demonstrated experience that prioritizing these points helps European fintechs increase their growth and fraud prevention while strengthening resilience and flexibility.

Get in touch with our experts to learn more about our approach and what our partnership could do for you and your business.

The UK payments landscape

Contactless payments have surged since the pandemic, accelerating a trend that was already underway thanks to the UK's advanced payments infrastructure.

There is no doubt that Covid-19 and social distancing have permanently transformed the UK payments landscape. After the third lockdown ended in March 2021, people returned to shopping in physical stores and visiting pubs and restaurants, but they continued to prefer contactless payments.

As a result, contactless payments surged by 36% in 2021 and were used for more than one-in-three payments. While this is a significant change from before the pandemic, when one-in-five payments were contactless, the pandemic has only served to accelerate a trend that was already underway thanks to the UK's advanced payments infrastructure.

From January 2020 every bank-issued payment terminal in the UK was capable of accepting contactless payments, while the limit for contactless card payments was increased to £45 at the start of the pandemic and further increased to £100 in October 2021.

Of the 157m debit and credit cards in circulation at the end of 2021, 142m or 91% had contactless functionality, up from 82% at the start of 2020.

While digital wallets such as Apple Pay, Google Pay and Samsung Pay were widely accepted before the outbreak of Covid-19, public acceptance of the technology has gained significant momentum during the past two years.

Cheque clearing completed the shift from paper to digital imaging in October 2019, while the Faster Payment Access Programme launched in 2014, allowing non-

bank payment service providers to directly connect and settle real-time payments.

Online retailers were also able to respond quickly to the pandemic thanks to the UK's well-established logistics sector and good transport infrastructure. Online card payments made up 11% of all payments in 2021, up from 7% in 2020.

The end of Covid restrictions has seen a shift from online to contactless payments as life returns to normality, as well as a small bump in the use of cash. In the summer of 2021, ATM network Link asked people about their use of cash, when 33% of people said they had not used cash in the past two weeks. That figure had fallen to 27% by January 2022.

The newest form of payment to be recognised in official statistics is buy-now-pay-later and bank/retailer financing at the point of sale, which increased to 5% of payments in 2021, up from 4% in 2020, which was the first year the data was recorded.

Cards

Card transactions rebounded significantly during 2021, both in the value and volume of transactions. There were more than 20.5bn card payments during the year, up 18% from 2020, while the value of card transactions increased by 12.5% to £790bn, according to UK Finance, the trade association for the UK banking and financial services sector.

Debit cards were responsible for most of the growth in the number of card payments, increasing by 21% to 17.5bn. This was

accompanied by a fall in the average value of transactions on debit cards to £34.50 in 2021 from £37.10 in 2020. The average value of credit card transactions increased during the same period to £56.20 from £53.60.

Another notable trend in the aftermath of the pandemic has been a surge in the use of contactless payments as people return to physical stores. In 2021, contactless payments increased by 46% to £166bn and now make up 21% of all card payments. Online card payments grew by 15% to £289bn and comprise 37% of card payments.

The total number of cards grew by 1.1% to 157m during 2021, though this small change masks a relatively large shift in the share of debit cards to credit cards. In 2020, debit cards made up 59% of the market, but in 2021 this share increased to 62%.

ATMs

The number of cash machines in the UK has been falling since 2017, though the number of ATMs on the Link network remained stable in 2021. At the end of the year, there were 53,400 machines, which was roughly 500 machines fewer than at the start of the year.

Between July 2018 and February 2022, the number of ATMs in the UK fell by 12,968 or 20%.

"ATM use will never return to pre-pandemic levels," according to Graham Mott, director of strategy at the Link ATM network. "People who perhaps were using less cash generally are now entirely comfortable using their phones or contactless."

Faster Payments

Real-time payments using the Faster Payment Service (FPS) reached a record in 2021, according to Pay.UK, the operator and standards body for the UK's retail interbank payment systems. The number of payments processed increased by 20% to 3.4bn, while the value of payments rose by 24% to £2.6tn.

FPS is the only true real-time payment scheme in the UK. It allows payments of up to £1m (increased from £250,000 in February 2022) to be sent instantly through multiple channels — online banking, mobile banking apps, telephone banking and over the counter.

At the end of 2021, there were 38 banks and other directly connected participants providing access to FPS.

Cash

Cash payments continue to decline, making up around 15% of payments in 2021. As recently as 2010, cash payments were more

than half of all payments in the UK. Even before the pandemic, debit cards had displaced cash as the most popular form of payment.

Cash withdrawals recovered slightly after the second lockdown at the end of 2020, but the total value and volume of withdrawals in 2021 was lower than in 2020 as the preference for cash has fallen. The ATM network still averaged £1.5bn of withdrawals a week in 2021, but this is down from more than £2.2bn in 2019.

Cheques

The use of cheques in the UK fell dramatically during the pandemic as customers moved to electronic payments. Cheque volumes dropped 40% during the national lockdown in 2020. In 2021, the value of cheques processed through the image clearing system fell by a further 12% to £202bn.

However, 44% of current account holders still write at least one cheque a year, according to a survey published by Pay.UK in January 2022. Even among the

over-65 age group, the number of people still using cheques occasionally is just 55%, down from 72% in 2014.

Businesses are more likely to write cheques, with 78% saying they write at least one cheque a year. On average, businesses write eight cheques each year.

Fraud

Criminals stole more than £1.3bn through fraud and scams in 2021, according to UK Finance. Theft from unauthorised fraud, where the accountholder does not provide authorisation and the transaction is carried out by a criminal, was £730m. Authorised push payment (APP) fraud, where the customer is tricked into authorising a payment, was £583m.

There were 200,000 incidents of APP scams in 2021, involving £215m lost to impersonation scams, where criminals impersonate organisations, £172m lost to investment scams and £64m in purchase scams.

Modelling good behaviour

Focusing on good customers is key to a more effective transaction monitoring process.

Transaction monitoring has become an endless arms race that's costly, cumbersome and produces very little in the way of results.

It's time for a rethink. Instead of fighting a losing battle trying to model criminal behaviour, as we're used to, why don't we model the behaviour of good customers?

Training a model to catch financial criminals is like trying to find a needle in a haystack — except the needle is constantly changing to avoid being found. A much more effective approach is to train your model to recognise the hay.

After all, there's substantially more hay than needles and it has no incentive to change, making it much more predictable. The model therefore doesn't need to know what needles look like — it just needs to know whether something isn't hay.

It's easy to be surprised by new and emerging types of crime when you're only focusing on known criminal phenomena. Criminals are trying not to get caught!

This is why we talk about modelling good behaviour. What can you

expect in a situation from a totally legitimate customer?

Look at the haystack, not the needle

Instead of trying to spot criminals, this approach focuses on normal customer behaviour with a model that's trained on legitimate transaction data.

This might sound simple, but it works. Looking at customers instead of criminals shines a light on previously undetected patterns. Banks that have implemented this type of model have often substantially increased their number of previously undetected crimes and cut their false positives by 80%.

This rethink also brings other benefits. Instead of relying on dozens of incomprehensible rules, being tweaked and tuned over time, this risk-based approach is more straight forward and therefore easier to explain to regulators. Think white box, not black box.

Compliance costs

The stakes are high. Most news on transaction monitoring has been about banks incurring fines, but that's only the tip of the iceberg.

LexisNexis estimates the global cost of AML and sanctions compliance to be more than \$210bn a year. Most of this money is spent on cumbersome administrative processes targeting totally legitimate customers while doing their daily business.

Despite these staggering efforts, criminals continue to thrive by finding the loopholes in the system. It can seem impossible to keep pace with how they're operating, leading to an endless cat-and-mouse game with very limited (and expensive) results.

By focusing your model on the good customers, you can once again re-focus your efforts on the real criminals, rather than the other way around.

Start modelling good behaviour today

Want to know more about how this approach can increase protection and drastically reduce false positives of your existing monitoring system? Get in touch and we'll be happy to discuss solutions.